June 2020

Category review: Chips

Retail Analytics

quantium

Executive Summary

01 Who buys chips & what drives sales?

- Older Families (Budget) drive the most revenue — high customer numbers AND high volume per basket.
- Mainstream Young Singles/Couples pay the most per unit and strongly prefer branded chips over private label.
- Families buy ~4 units per visit vs ~2.6 for singles — household size is the #1 volume driver.

02 Did the trial stores work?

- Stores 77 & 88 showed significant sales & customer uplift in 2 of 3 trial months — the trial worked.
- Store 86 attracted more customers but sales uplift was weaker — possible promotional pricing effect.
- Recommend rolling out to stores with similar profiles to 77 & 88.

01

Category

Who buys chips and what drives sales?

Three drivers explain chip sales — customers matter most

Number of customers

72,637

unique chip buyers

Older Families & Retirees have the largest base

Units per customer

~4 units

families per visit

Families buy 57% more units than singles per visit

Price per unit

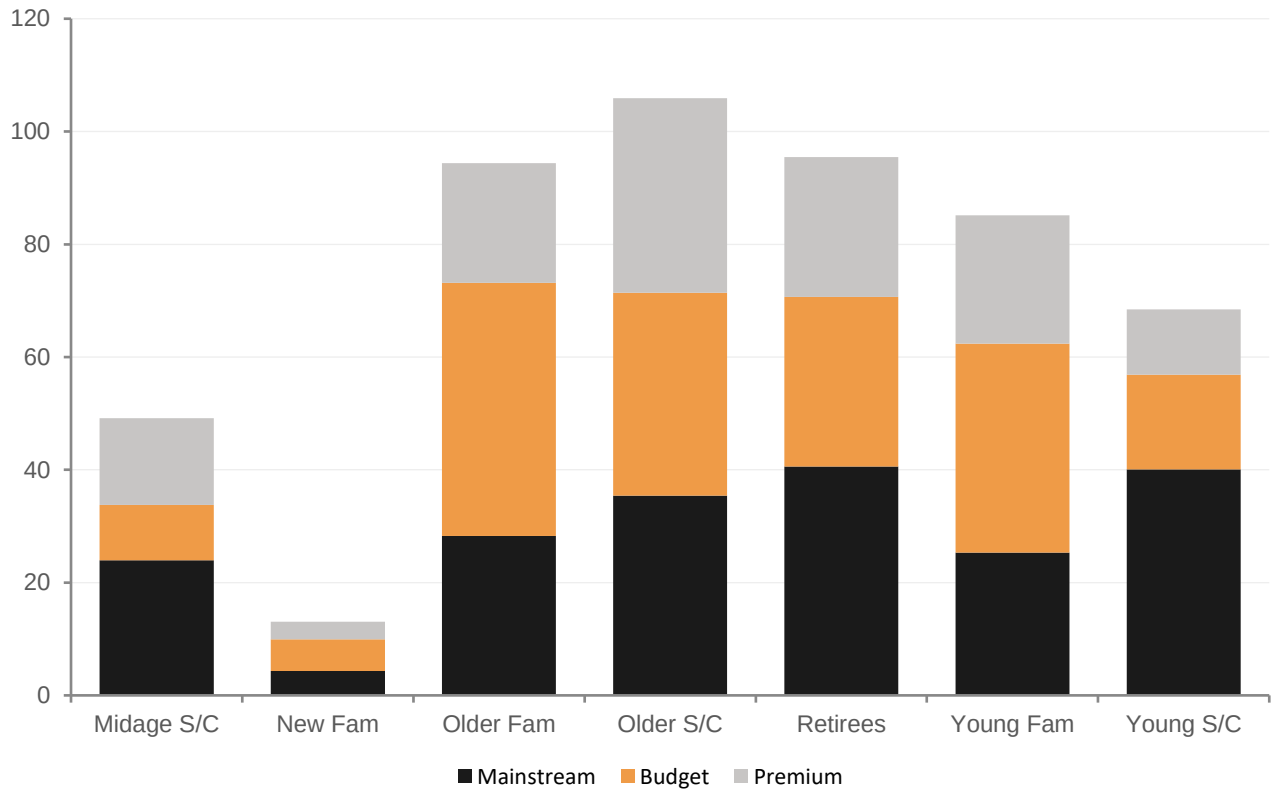
$3.60

avg across segments

Mainstream Young S/C pay $3.83 — highest of all

Sales = Customers × Units per Customer × Price per Unit

Older Families and Young Singles/Couples drive the most revenue



Top segment

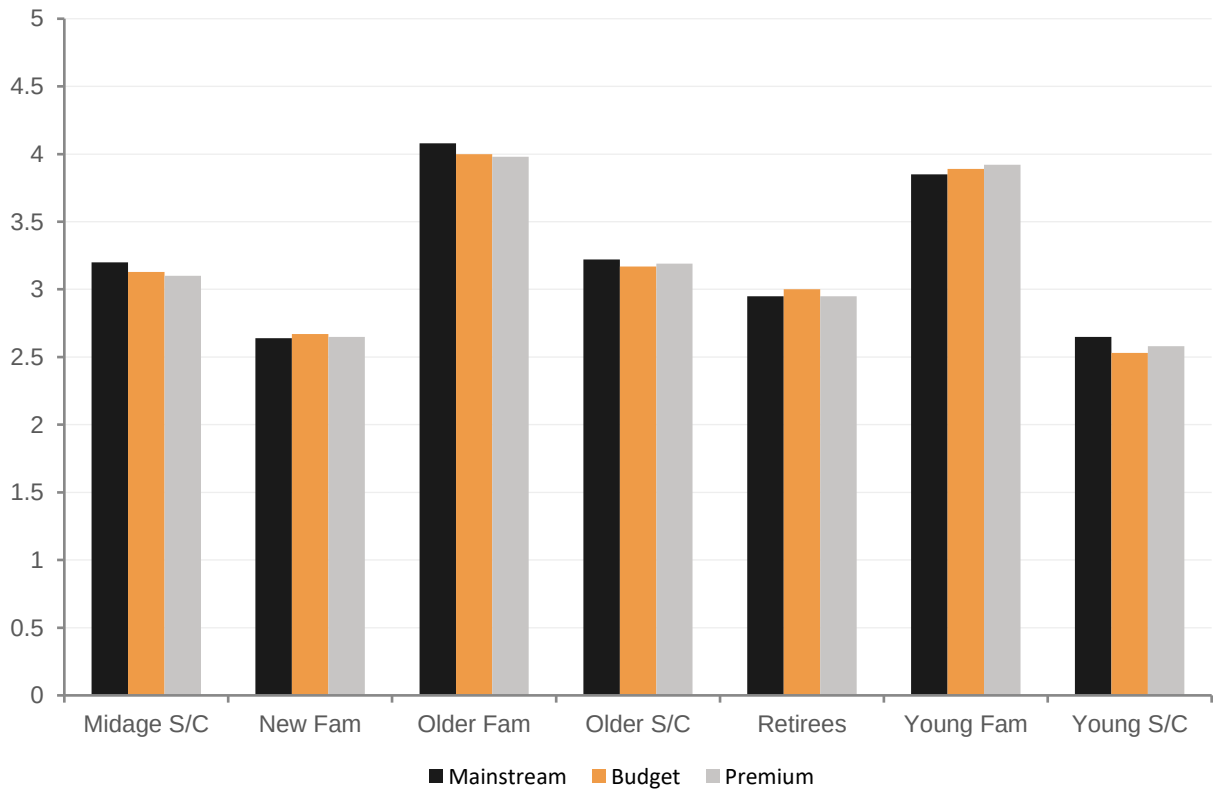
Older Fam Budget

$44,859

Key insight

High sales driven by both volume AND customer count — not just one factor.

Families buy far more chips per visit — lifestage matters more than affluence



~4 units

Families (all tiers) per visit

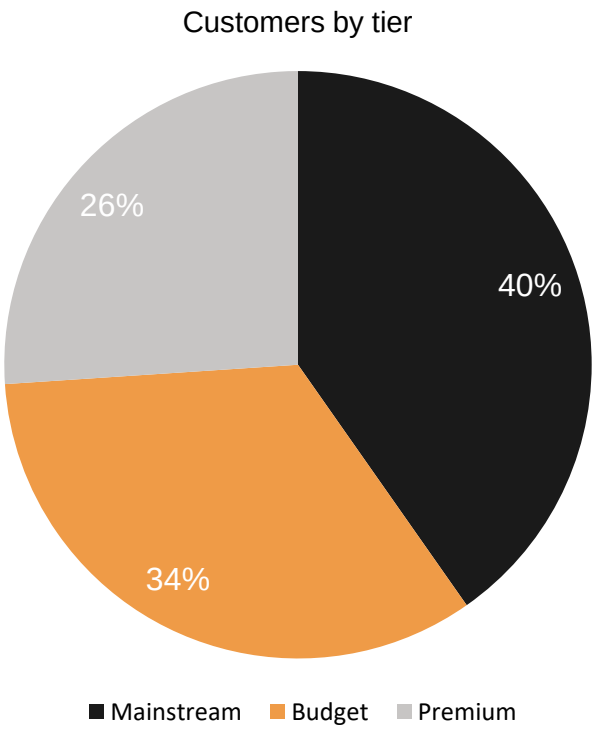
~2.6 units

Young Singles/Couples per visit

Same tier, different need

Premium vs Budget gap within a lifestage is tiny — targeting should focus on lifestage, not tier

Mainstream customers are 40% of buyers but punch above their weight in sales

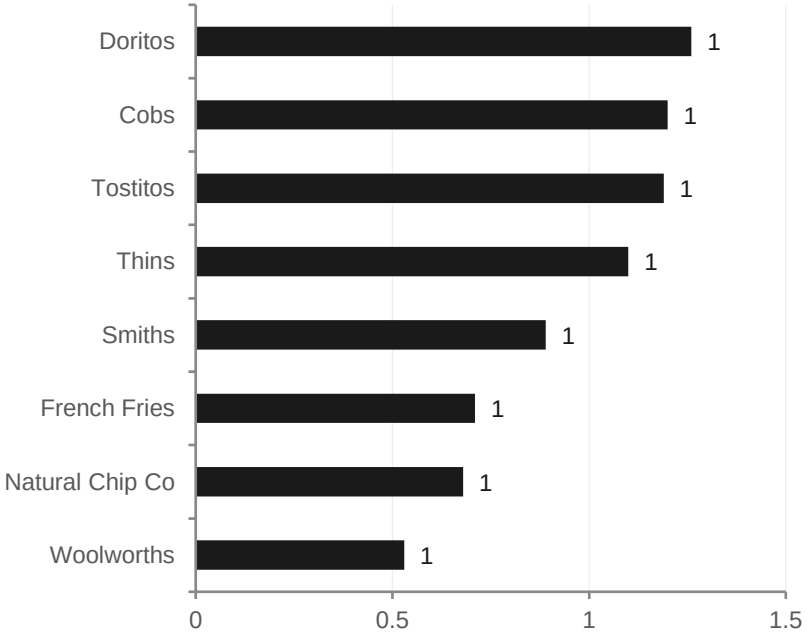


Lifestage	Customers	Total Sales
Retirees	14,805	$95,448
Older Singles/Couples	14,609	$105,931
Young Singles/Couples	14,441	$68,446
Older Families	9,780	$94,371
Young Families	9,178	$85,165
Midage Singles/Couples	7,275	$49,138
New Families	2,549	$13,046

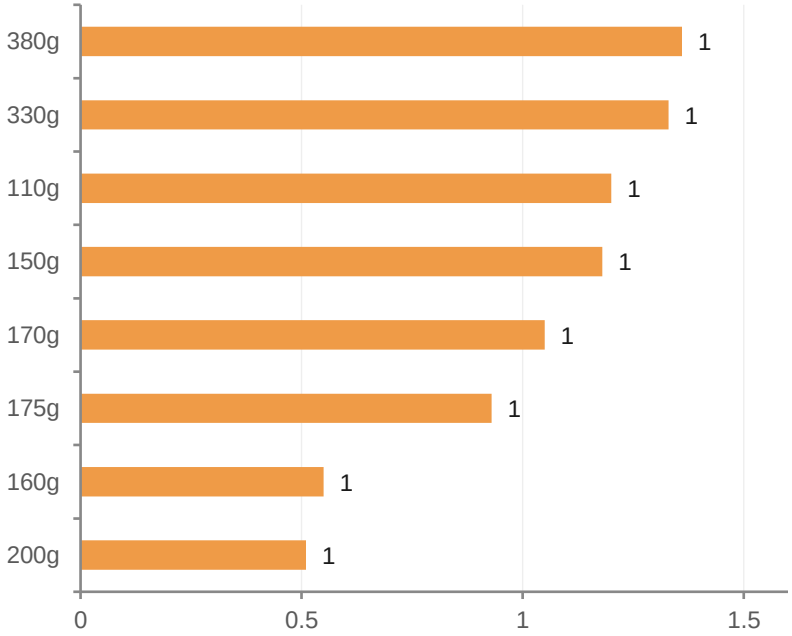
Mainstream Young Singles/Couples: branded, social, and on-the-go

This segment pays $3.83/unit — significantly above the $3.60 mean (p<0.0001). They actively avoid private label, preferring recognised brands for social occasions.

Brand affinity (1.0 = population average)



Pack size affinity (1.0 = population average)



02

Trial Store Performance

Did the trial drive more sales and more customers?

How we measured impact: matching trial stores to their 'twin'

1

Find a twin store

Each trial store was matched to a control store with the most similar pre-trial monthly sales and customer counts using statistical scoring.

2

Scale to same level

Control store sales were adjusted by a scaling factor so both stores start from the same baseline — removing size differences.

3

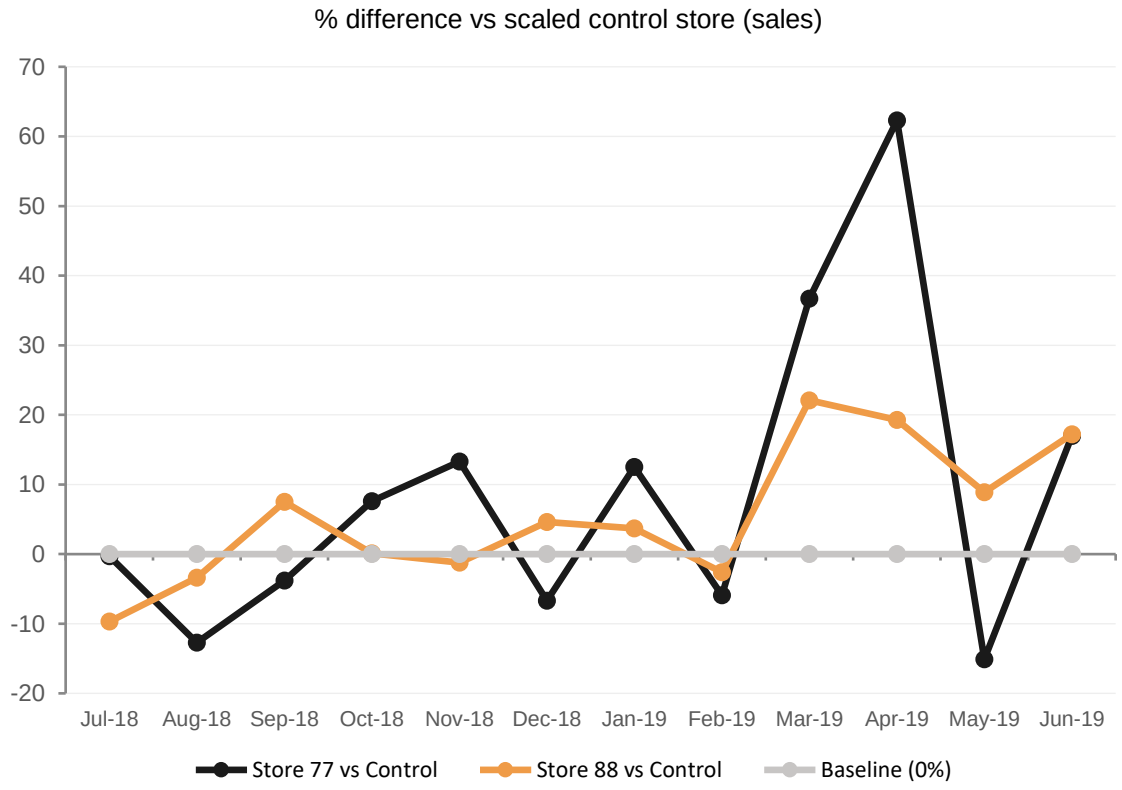
Test for significance

We used a t-test (95% confidence) to determine if trial period differences were genuine uplift, not just random variation.

Control stores selected:

Trial Store	Control Store	Match Score
Store 77	Store 233	0.97 / 1.00
Store 86	Store 155	0.94 / 1.00
Store 88	Store 237	0.81 / 1.00

The trial worked — two of three stores showed clear, significant uplift



Store 77 vs 233

✓ SUCCESS

+36.7% Mar
+62.3% Apr
Both significant

Store 86 vs 155

~ MIXED

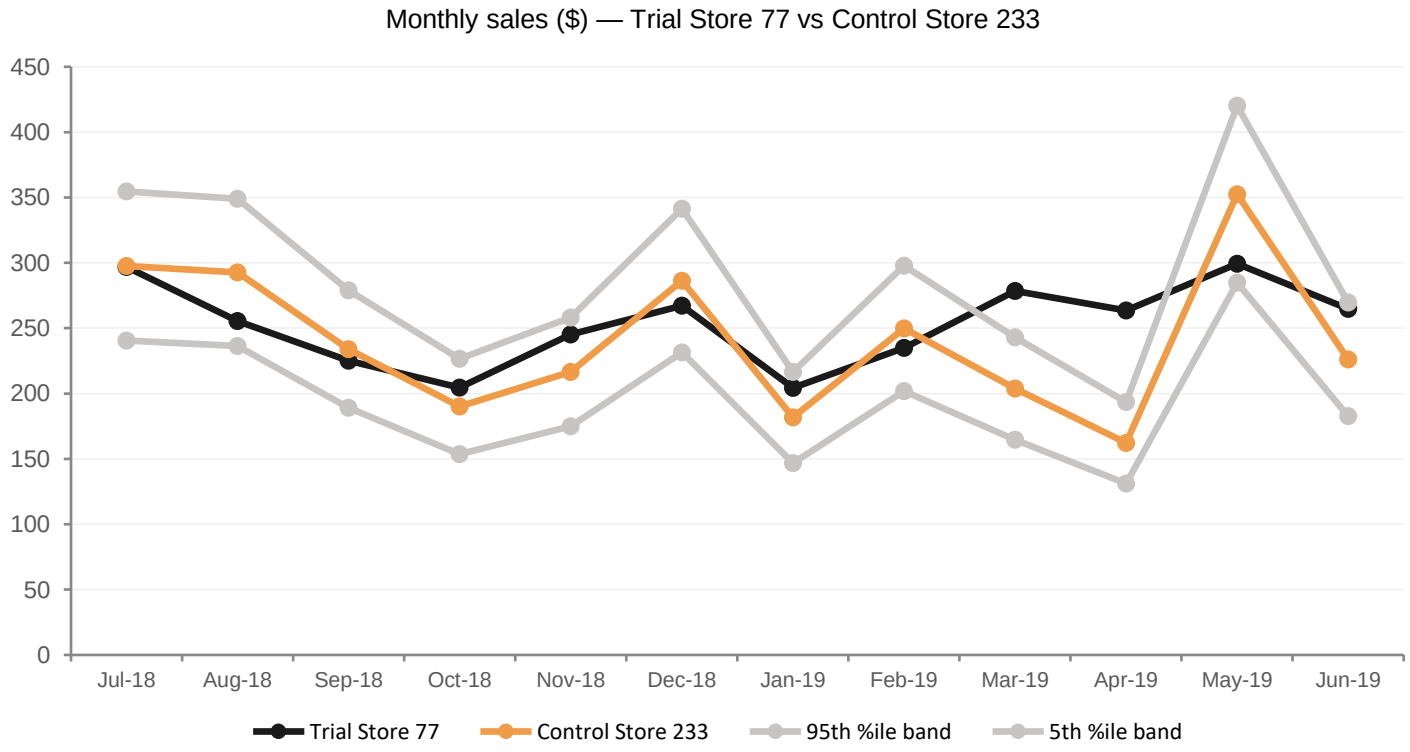
+31.6% Mar (sales)
+22.3% Mar (cust)
Check pricing

Store 88 vs 237

✓ SUCCESS

+22.1% Mar
+19.3% Apr
Both significant

Store 77: Sales significantly above control in March and April



Feb

t = 0.62

Not significant

Mar

t = 3.83

Significant ✓

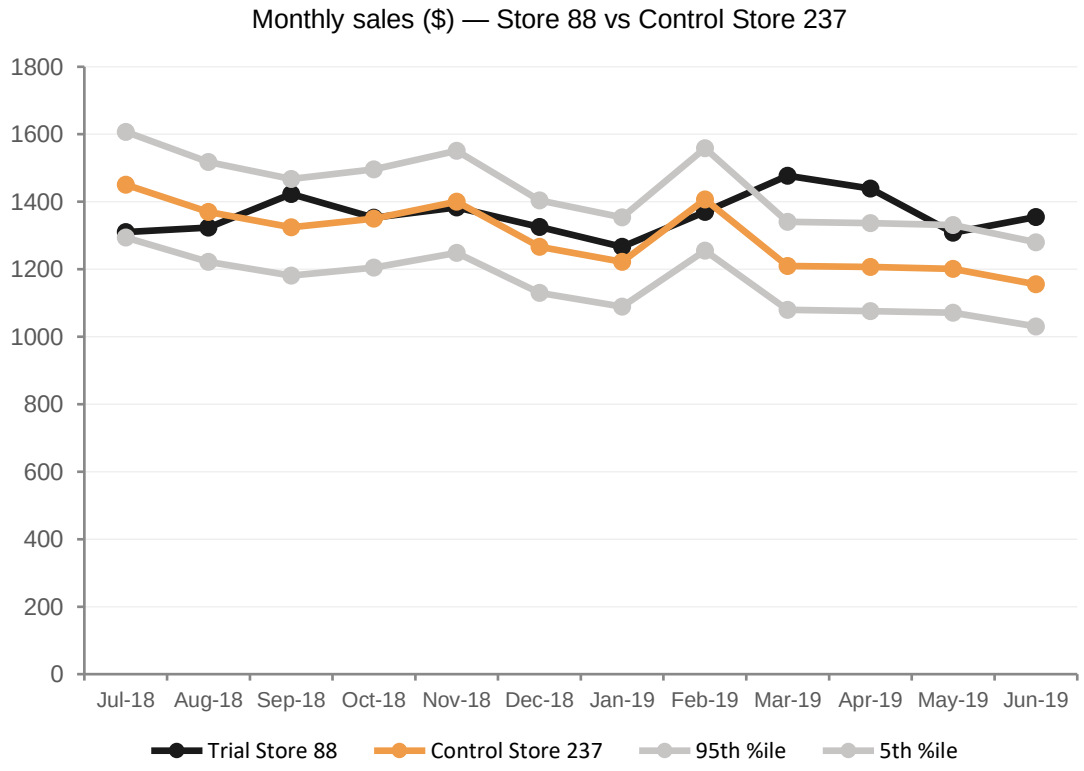
Apr

t = 6.51

Significant ✓

t > 1.895 = significant (95% confidence, df=7)

Store 88: Consistent uplift across both sales and customer count



+22.1%
Mar 2019 sales uplift

+19.3%
Apr 2019 sales uplift

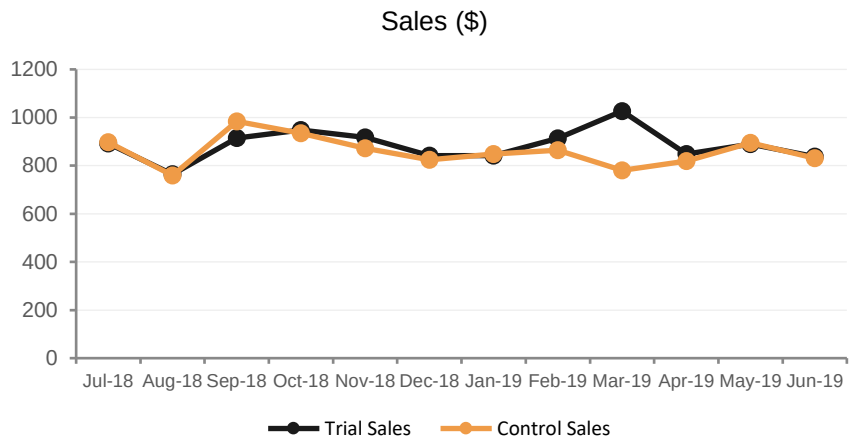
+13.2%
Mar 2019 customer uplift

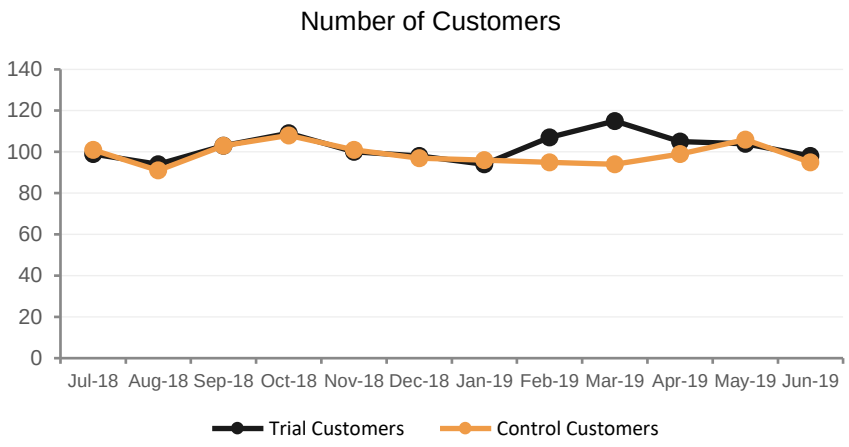
+7.3%
Apr 2019 customer uplift

-2.6%
Feb 2019 (pre-trial)

quantium

Store 86: More customers came in — but was pricing lowered during the trial?





Sales: 1 of 3 months significant

Only March showed significant sales uplift (t=7.91). February and April were within normal variation.

Customers: 2 of 3 months significant

February (t=2.63) and March (t=4.66) both significant. More people visited but sales didn't fully follow — review if promotional pricing was used.

Recommendations

01

Roll out the trial

Expand the trial intervention to stores matching profiles of stores 77 and 88 — prioritising locations with high Older Family (Budget) and Mainstream Young Singles/Couples concentrations.

02

Investigate Store 86

Clarify whether promotional pricing was applied during the trial in store 86. Customer uplift was real, but sales didn't fully follow — understand the mechanics before scaling.

03

Target Mainstream Young Singles/Couples

This segment pays a premium for branded chips and over-indexes on Doritos, Cobs, and Tostitos in party and on-the-go sizes. Targeted promotions in these brands and sizes could drive further uplift.

04

Protect the family segment

Older and Young Families are the volume backbone of the category. Maintaining availability of value-pack sizes and their preferred brands is critical to retaining this revenue base.

Thank you

Questions? Reach out to your Quantium contact.

quantium